



Overview of Earnings for FY2012 & Medium-term Management Plan

Japan Exchange Group, Inc.

April 30, 2013

- I. Outline of Japan Exchange Group (JPX)
- II. Overview of Earnings for FY2012
- III. Medium-term Management Plan (FY2013 – FY2015)
- IV. Reference Material

** Our financial year starts on April 1 and ends on March 31.*

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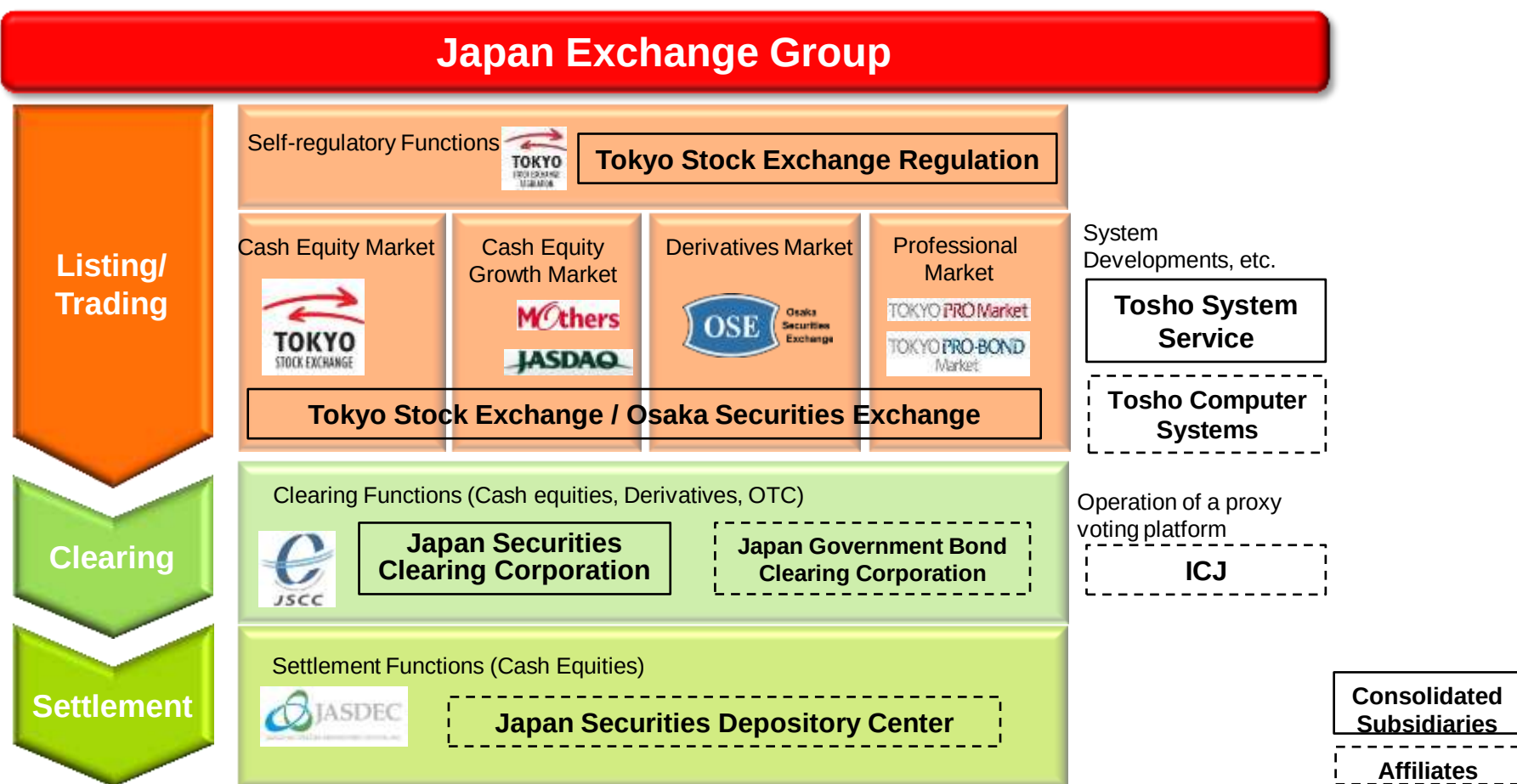
These materials contain forward-looking statements. These statements are based on our assumptions and beliefs in light of the information currently available to us and are subject to risks and uncertainties. Should one or more of these risks or uncertainties materialize, or should underlying assumptions prove incorrect, our actual results may vary materially from those we currently anticipate. Given these risks and uncertainties, you are cautioned not to place undue reliance on forward-looking statements, which speak only as of the date of these materials. We disclaim any obligation to update any of the forward-looking statements contained in these materials to reflect future actual events or developments.

I. Outline of Japan Exchange Group (JPX)



Establishment of Japan Exchange Group (JPX)

- TSE and OSE, with their respective strengths in cash equities and derivatives, conducted a business combination in January 2013.
- Develop high added-value business via vertical integration of listing/trading, clearing/settlement, and information services.



II. Overview of Earnings for FY2012 (April 1, 2012 – March 31, 2013)

[Regarding JPX Earnings for this Fiscal Year]

- The consolidated financial statements of Japan Exchange Group, Inc. (JPX) is created based on this combination succeed the consolidated financial statements of former TSEG in accordance with accounting standards pertaining to corporate combination.
- Since an establishment of JPX was on January 1, 2013, numbers for 4Q FY2012 or later are numbers of the combined company, which is consisted of former TSEG and former OSE. Also, As a result of a tender offer for shares of former OSE, former TSEG made OSE its consolidated subsidiary (the deemed acquisition date is September 30, 2012), the profits and losses of former OSE for 3rd Quarter (from October 1, 2012 to December 31, 2012) are included in the consolidated cumulative financial results JPX. On the other hand, the profits and losses of former OSE for 1st Half (from April 1, 2012 to September 30, 2012) are not included.
- Therefore, combined numbers, which include the profits and losses of former OSE for the 1st Half (from April 1, 2012 to September 30, 2012), are shown as references in this material. Also, in terms of the profits and losses of the previous year (from April 1 2011 to March 31, 2012), combined numbers of former TSEG and former OSE are shown as references. Regarding these combination calculations, the profits and losses for former OSE are converted into JPX's accounting items, therefore, the combines numbers may differ from simply combined numbers in former TSEG's financial statements and former OSE's financial statements.



Highlights and Forecasts for FY2013

- Revenues and profits increased due to an increase of trades of both cash equities and derivatives since December 2012, etc. (Approx. JPY1,474mil. amortized goodwill is included in operating costs.)

(JPY 1 mil.)

	FY2011	FY2012			FY2013 (Forecasts)		
	Full Year *1	Full Year			2Q (cumulative)	Full Year	
		Figures on Earnings Reports	Combined with former OSE's 1H	y/y			y/y
Operating Revenue	75,539	71,708	82,504	9.2%	43,500	87,000	5.4%
Operating Expenses	58,057	52,152	59,633	2.7%	32,000	64,000	7.3%
Operating Income	17,482	19,555	22,871	30.8%	11,500	23,000	0.6%
Ordinary Income	20,080	21,631	25,259	25.8%	12,000	24,000	-5.0%
Net Income	11,777	10,941	12,953	10.0%	6,500	13,000	0.4%
EBITDA	33,363	32,298	37,026	11.0%	-	-	-
Dividend par Share	-	-	JPY 80.00	-	JPY 45.00	JPY 95.00 *2	18.8%

*1 Combination of former TSEG and former OSE. *2 Total of 2Q and year-end dividends.

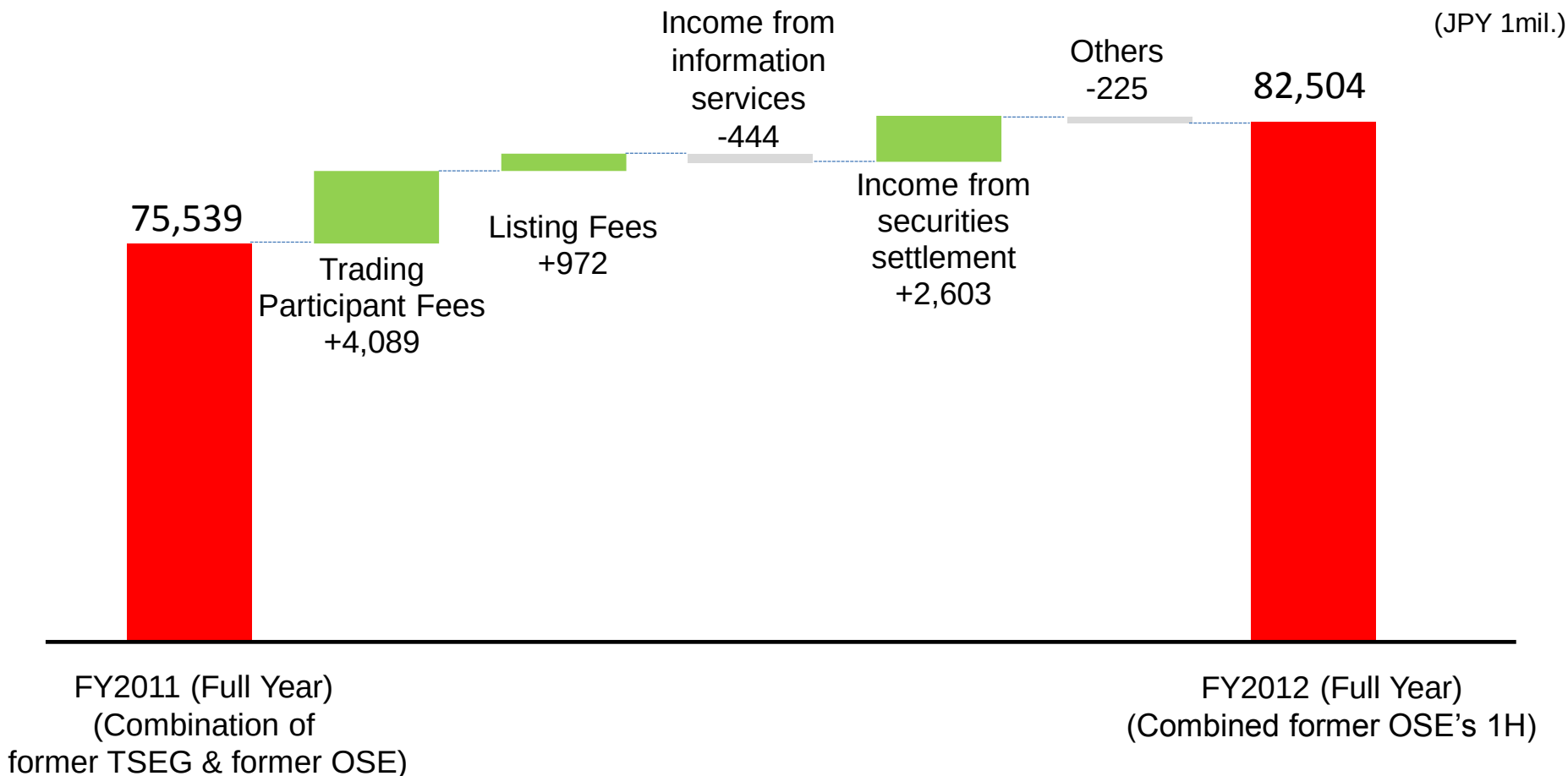
➤ Average Daily Trading Volume/Value of Major Products

	FY2011	FY2012		FY2013 (Assumptions for forecasts)	
			y/y		y/y
Equities (trading value) *1	JPY 1,361.9 bil	JPY 1,561.2 bil	14.6%	JPY 1,600 bil	2.5%
TOPIX futures (trading volume)	57,840contracts	68,204contracts	17.9%	81,000 contracts	18.8%
Nikkei 225 Futures *2 (trading volume)	119,396contracts	153,086contracts	28.2%	177,000contracts	15.6%
10-year JGB futures (trading volume)	29,307contracts	38,700contracts	32.1%	40,000contracts	3.4%
Nikkei 225 Options (trading value)	JPY 18.8 bil	JPY 23.5 bil	25.1%	JPY 32.0 bil	35.9%

*1 Total of trading value in TSE 1st /2nd Section, Mothers, OSE 1st /2nd Section and JASDAQ *2 Including Nikkei 225 mini (calculated by 1/10)

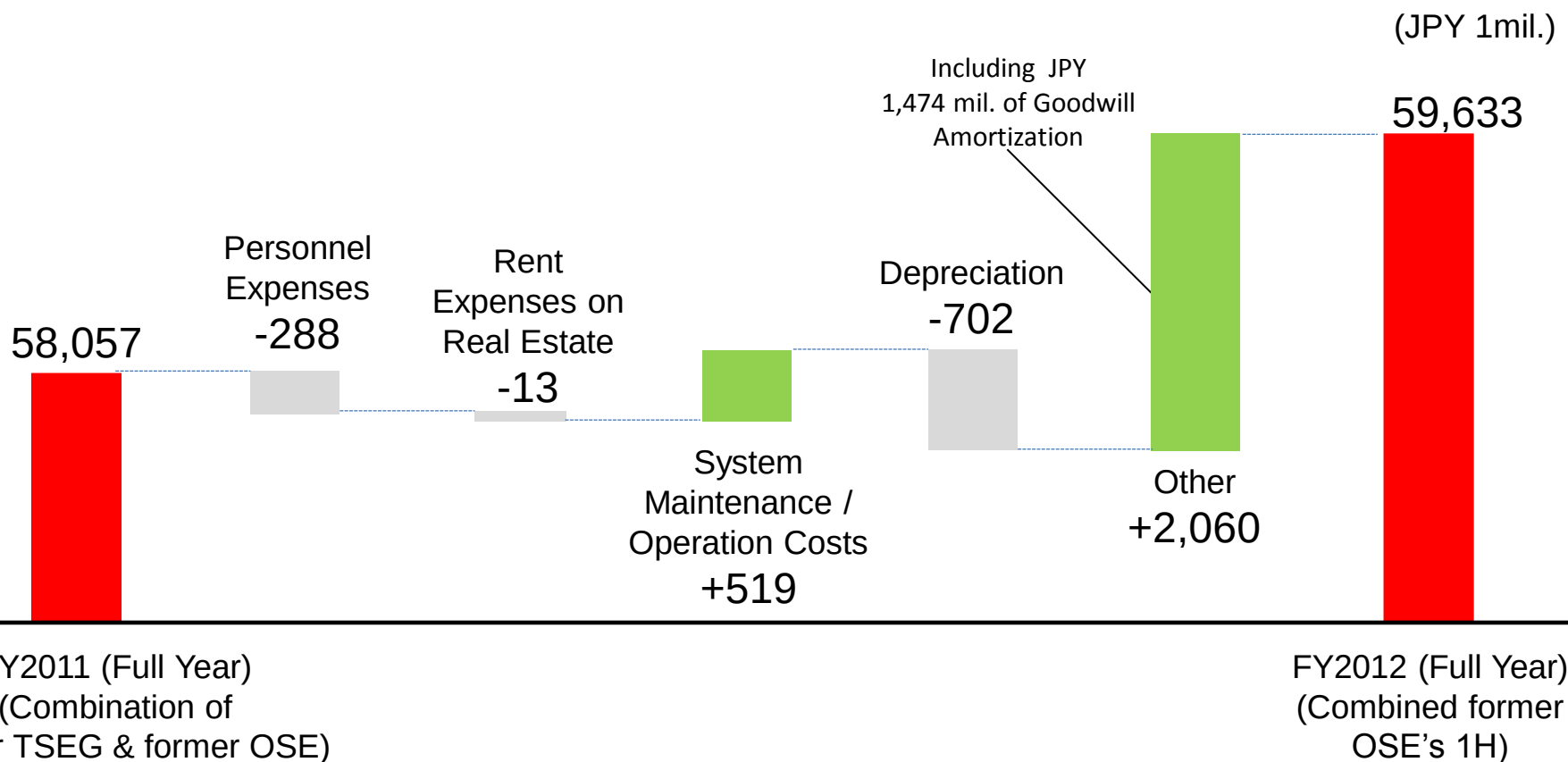
Operating Revenue

- Due to increase in cash and derivatives trading, revenues from trading participant fees and securities settlement-related revenues increased. In addition, a start of clearing business of IRS since October 2012 also contributed to an increase in securities settlement-related revenues.
- Due to increases in listed company fund-raising and IPOs, listing-related revenues increased



Operating Expenses

- Although accelerated system amortization for system integrations occurred, due to large decrease in depreciation of former TSEG, depreciation decreased.
- “Other” expenses increased due to start of goodwill amortization (20 year annual amortization), etc.

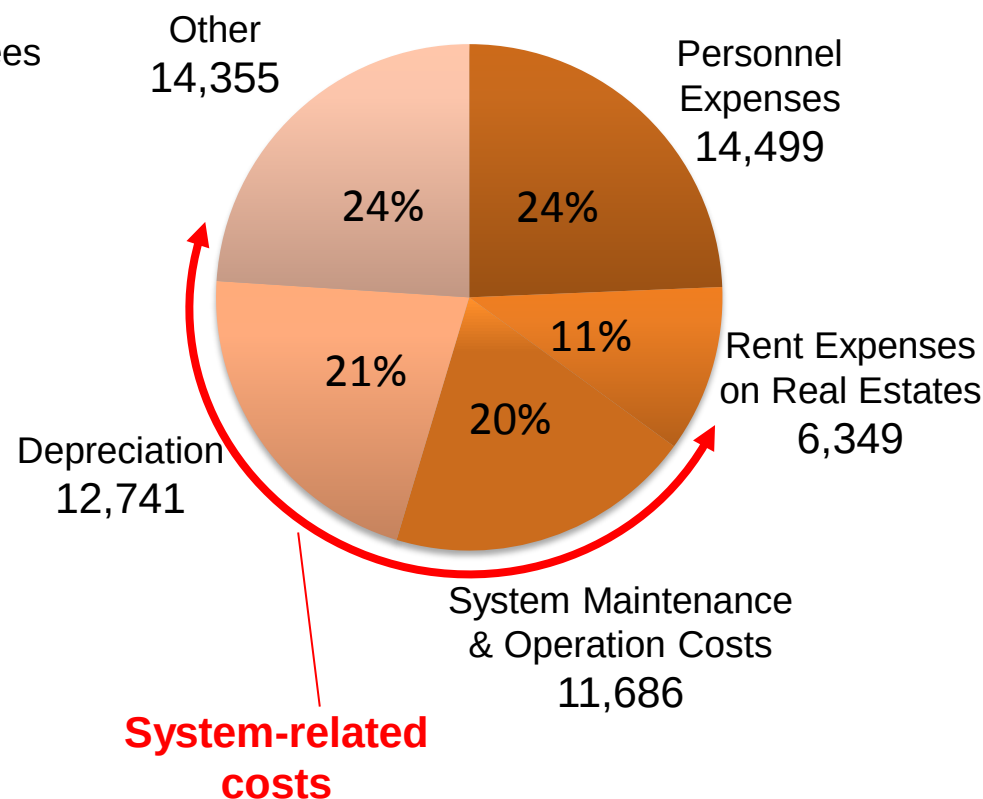
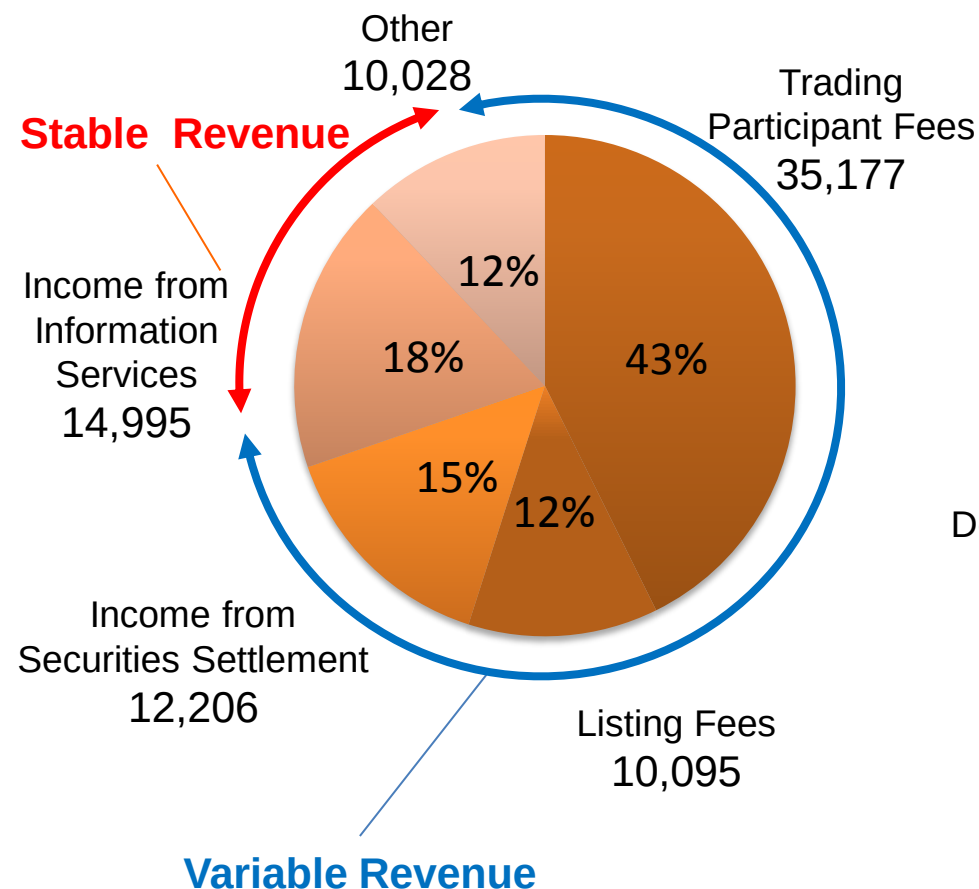


Composition of Operating Revenues and Expense

(JPY 1mil.)

Operating Revenues

Operating Expenses



FY2012 (Full Year)
(Combined former OSE's 1H)

III. Medium-term Management Plan (FY2013 – FY2015)



Core Strategy

KEY ①

Creation of a New Japanese Stock Market

Using the opportunity provided by the market integration, re-envision the Japanese stock market as one that develops with the Asian economy

KEY ②

Expansion of the Derivatives Market

Combine the trading infrastructure and marketing capabilities of both TSE and OSE and promote ourselves as a comprehensive exchange to become a top-class Asian derivatives market

KEY ③

Expansion of Exchange Business Fields

Realize the diversification of our revenue streams mainly through expanding our OTC clearing business to become the most preferred destination for investments in Asia

Early Realization of Integration Benefits

Promptly and smoothly integrate market functions and systems, promptly realize synergies (cost reduction, etc.), and establish a more efficient and creative corporate culture

Early Realization of Integration Benefits

■ Consolidate markets/clearing functions within JPX group within FY 2013



- **Consolidate cash equity market under Tokyo Stock Exchange**
 - ✓ Consolidate trading system on arrowhead (off-auction: ToSTNeT)
 - ✓ Cash equity market will be composed of TSE 1st/2nd Section, Mothers, JASDAQ, and TOKYO PRO MARKET (OSE 1st/2nd Section will migrate to TSE 1st/2nd Section)
- **Consolidate self-regulatory functions under Tokyo Stock Exchange Regulation**
 - ✓ Shift self-regulatory functions of derivatives market at the time of the cash equity market consolidation
- **Consolidate clearing functions under Japan Securities Clearing Corporation**
 - ✓ Further improve risk management functions
 - ✓ Improve liquidity and participant capital efficiency via unified margin system

- **Consolidate derivatives market under Osaka Securities Exchange**
 - ✓ Consolidate trading system on J-GATE (using NASDAQ OMX Click XT)
 - ✓ Facilitate trading of a wide-range of derivatives products on a single platform, including Nikkei 225 products, TOPIX products, and JGB products
 - ✓ Facilitate further extension of evening trading hours for TOPIX Futures, JGB Futures, etc.

Creation of a New Japanese Stock Market

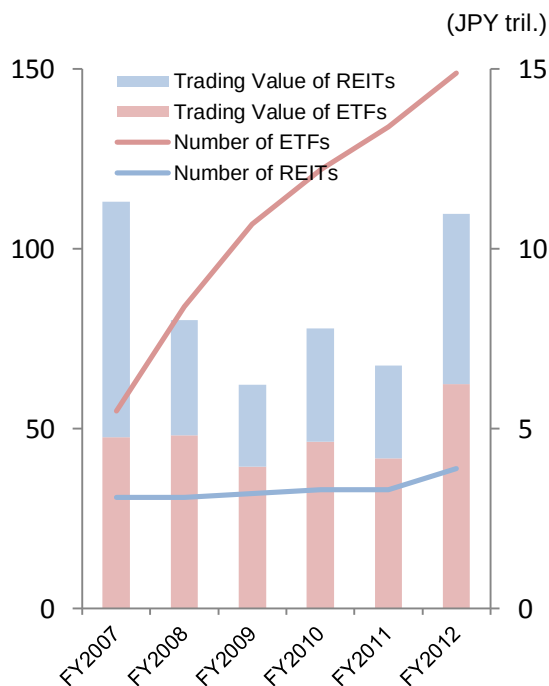
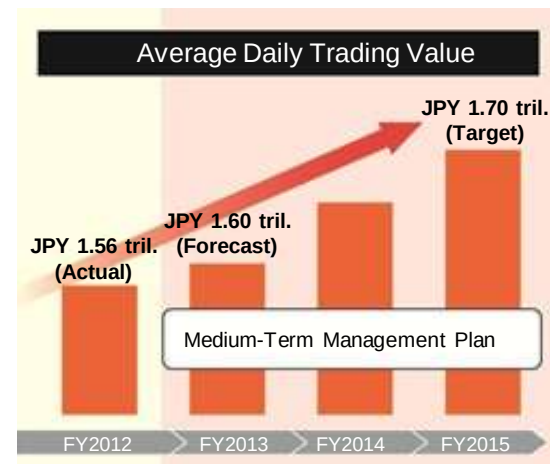
Improve the
Appeal of
Japanese
Stocks

■ Develop New Stock Price Indices

- ✓ Develop/commerce calculation of new indices composed of highly attractive listed companies [FY2013], broaden familiarity with new indices and improve their recognition/awareness [FY2014]

■ Enhance Corporate Governance

- ✓ Revise listing rules, increase awareness of the Listed Company Awards, etc.



■ Renew *arrowhead*

- ✓ Further improve latency, reinforce risk management functions, etc. [FY2015]

■ Revise Tick Sizes/Trading Hours

- ✓ Implement Small Tick Program [FY2013], start serious discussions for night-time cash equity market.[FY2013]

■ Propose Policy Measures to Enhance Market Functions

- ✓ Propose policy measures via expert meetings [FY2013], disseminate such proposals to global media, etc.

■ Expand ETF・J-REIT Markets

- ✓ Establish an Asia's top-class ETF market in terms of managed amount and diversity, and secure position as the world's 3rd largest REIT market [FY2015]

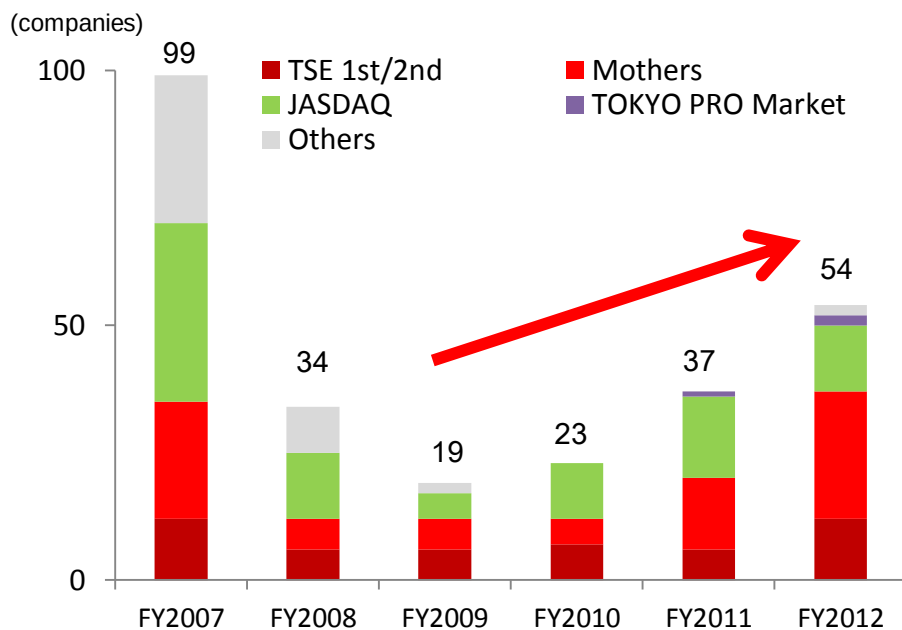
Creation of a New Japanese Stock Market

Promotion of IPOs

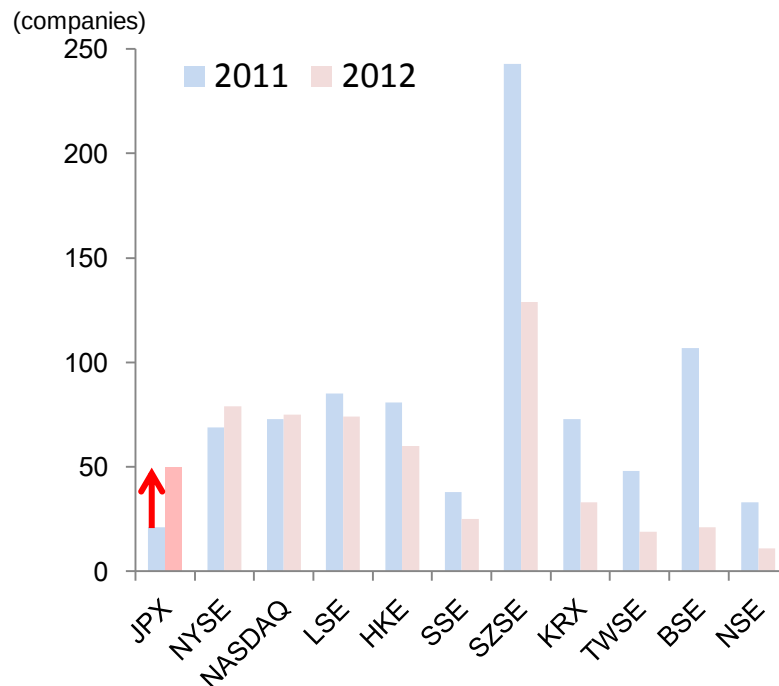
■ Support Corporate Growth through IPO Promotion

- ✓ Implement “seeding” activities prior to listing preparation
- ✓ Offer “Growth stage-case support” to candidates for listing
- ✓ Extend “growth support” after listing

➤ Number of IPOs in Japan



➤ Number of IPOs in Major Exchanges



Expansion of the Derivatives Market

Initiatives
toward a
Comprehensive
Exchange

New Product
Development,
etc.

■ Revitalize the Commodities Market

- ✓ Encourage concerned parties to revise rules and regulations which impede expansion of the commodity derivatives market, and enter into the field of commodities on a full scale

■ Develop Overseas Index Products

- ✓ Enrich/expand JGB-related products, and launch derivatives products which target overseas indices, etc.
- ✓ Develop/launch new products to cover OTC trades
- ✓ Conduct marketing and promotion activities targeting market participants to secure liquidity for new products

■ Review Derivatives Market Rules and Frameworks

- ✓ Develop rules and frameworks, review fee structure, and extend trading hours, etc. in connection with the derivatives market integration
- ✓ Use the system integration as an opportunity to expand market participants and promote new participation in the JGB Futures and TOPIX Futures markets

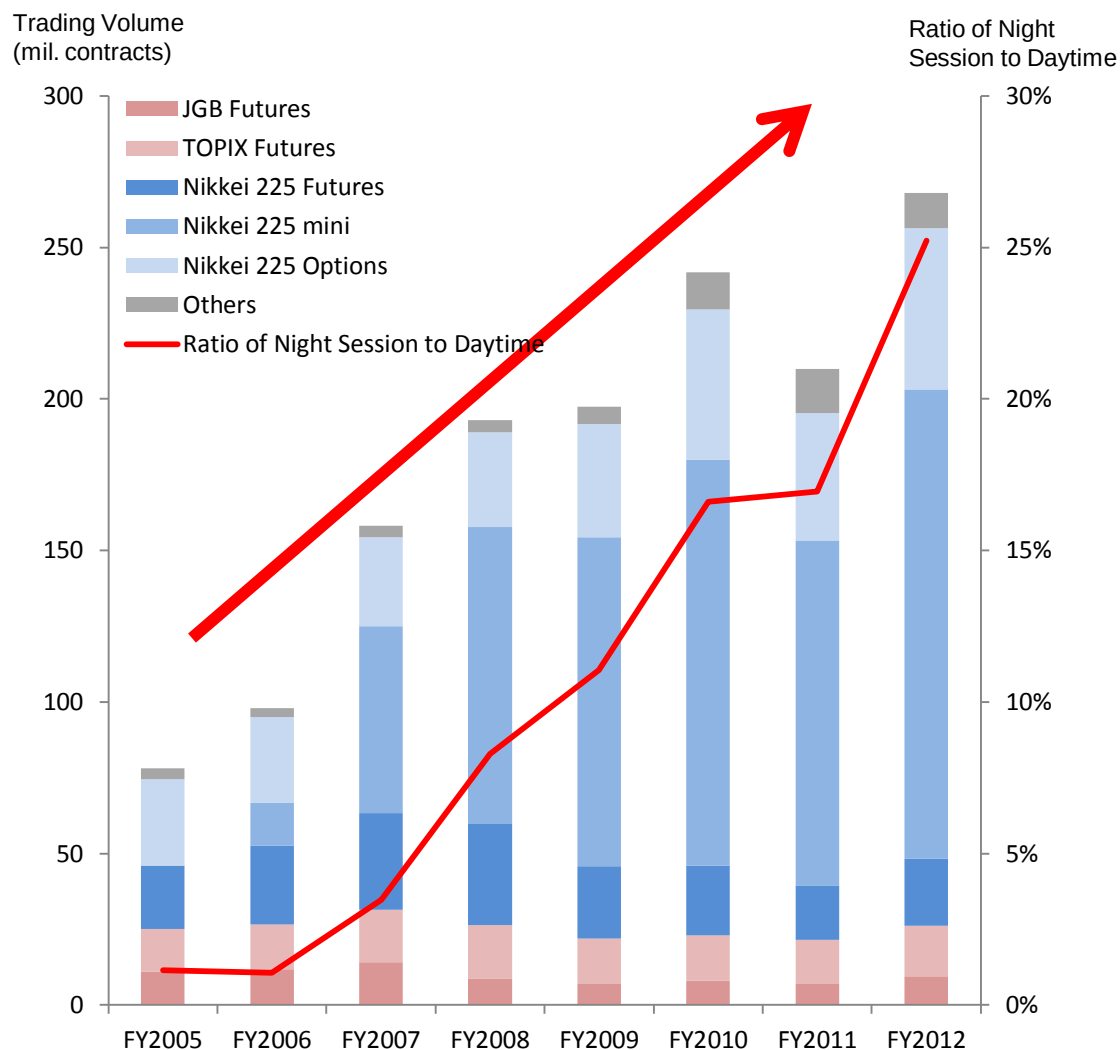
■ Discuss Next-Generation Derivatives Trading System

- ✓ Formulate the implementation timeline and basic schedule for a next-generation derivatives trading system
- ✓ Determine basic policies for new rules and new functions to accompany launch of a next-generation derivatives trading system



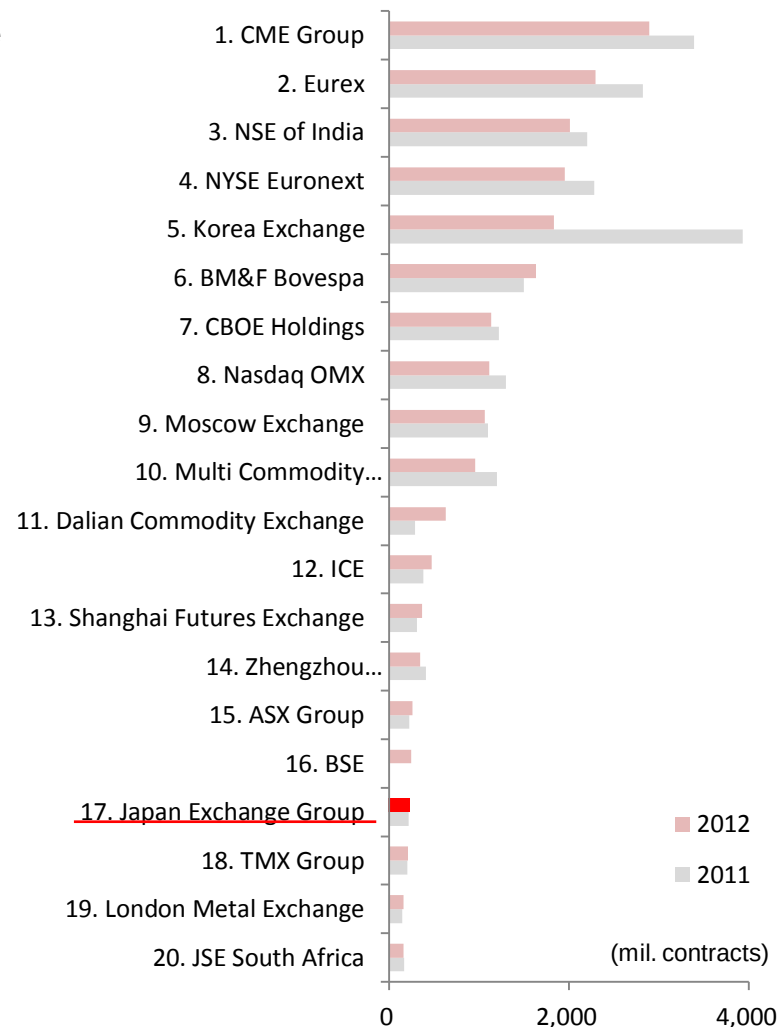
Expansion of the Derivatives Market

➤ JPX's Derivatives Trading Volume and Ratio of Night Session to Daytime



➤ Derivatives Trading Volume in the World

(Source: FIA data)



Expansion of Exchange Business Field

Expansion of
Clearing
Business

Preparation
of New
Product
Platforms,
etc.

■ Develop Rules to Expand Use of OTC Derivatives Clearing

- ✓ Start client clearing (Clearing of customer trading) [FY2013]
- ✓ Commence handling of products such as foreign-currency-denominated Interest Rate Swaps, etc. [FY2014]
- ✓ Introduce Cross-Margin rules for JGB Futures and Interest Rate Swaps, etc. [FY2015]

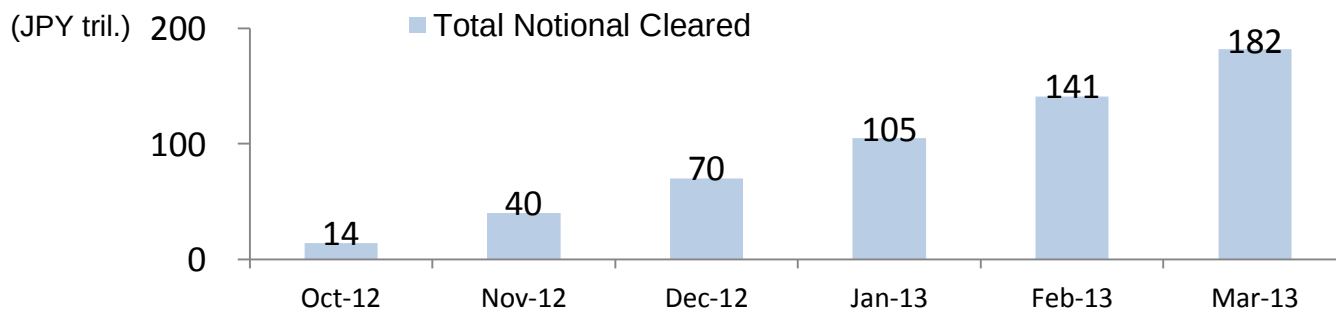
■ Establish Rules for Listed Infrastructure Market and Realize Listings

- ✓ Determine market needs and respond to challenges for full scale market creation, and implement individual promotion/listing support targeting domestic/overseas originator candidates based on such determination and response. Then establish a competitive foundation against other Asian markets [FY2015]

■ Utilize/Invigorate PRO-BOND Market

- ✓ Secure position as top-class professional-oriented bond market in Asia through enhancement of market convenience and cultivation of new issuers and investors mainly in Asia [FY2015]

➤ IRS Clearing (Cleared Open Interest)

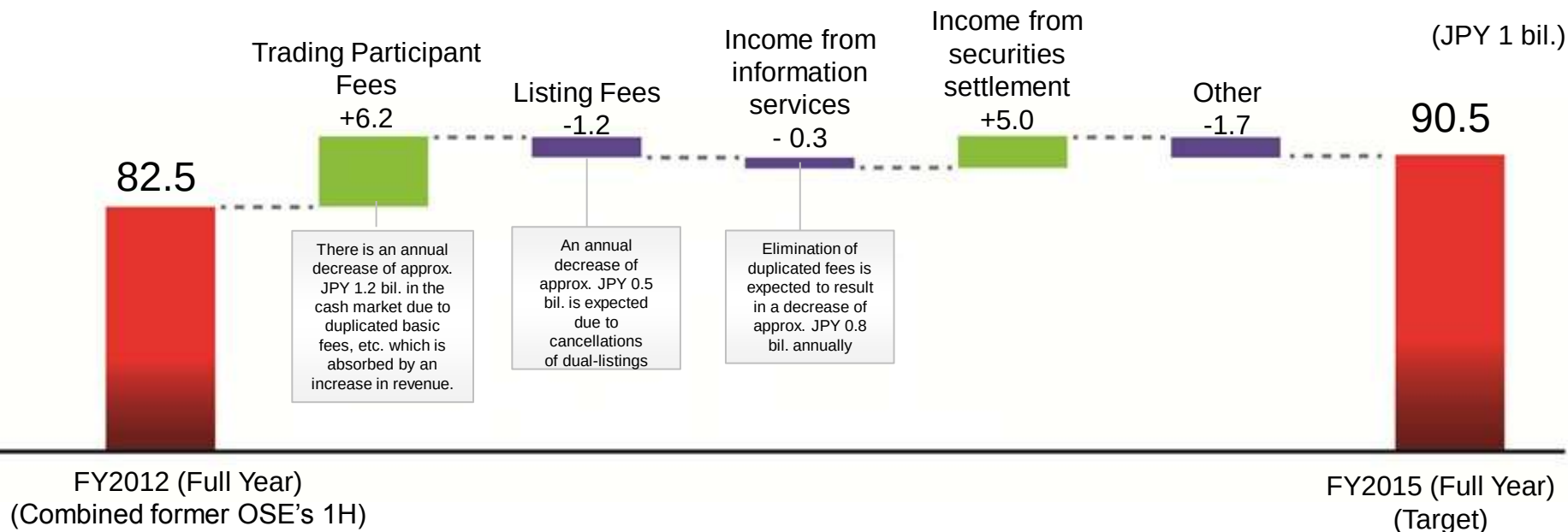


Target of Revenue Growth

- Implement initiatives to expand cash/derivatives markets and exchange business fields

	FY2012	FY2015 (Assumptions for the Target)	
			compared to FY2012
Equities (trading value) *1	JPY 1,561.2 bil	JPY 1,700 bil	+138.8 bil
TOPIX futures (trading volume)	68,204contracts	104,000contracts	+35,796
Nikkei 225 Futures *2 (trading volume)	153,086contracts	217,000contracts	+63,914
10-year JGB futures (trading volume)	38,700contracts	53,000contracts	+14,300
Nikkei 225 Options (trading value)	JPY 23.5 bil	JPY 47.0 bil	+23.5 bil

Target:
Revenue Growth of
**JPY 8 bil. or
More**
(compared to
FY2012)



*1 Total of trading value in TSE 1st /2nd Section, Mothers, OSE 1st /2nd Section and JASDAQ *2 Including Nikkei 225 mini (calculated by 1/10)

Cost Structure Change

- Target to reduce JPY 8.5 billion or more costs (compared to FY2012)

FY2013

FY2014

FY2015

Sep. 2012 – Jul. 2013

Accelerated amortization of prior OSE's cash equity system

July 2013

Cash equity system integration

Plan to replace a cash equity system to next arrowhead

Dec. 2012 – Mar. 2014

Accelerated amortization of prior TSE derivatives system

March 2014

Derivatives system integration

Increase depreciation due to accelerated amortization

**System-related cost reduction
(JPY 7 bil. in FY2015)**

<Integration of duplicate systems>

Non system-related cost reduction (JPY 1.5 bil in FY2015)

<Improvement of operational efficiency and revision of business bases, etc.>

**Target:
Cost Reduction of
JPY 8.5 bil.
or More**

(15% of Overall Costs)
(compared to FY2012)

(Note) System-related cost: costs related to system maintenance/operation, depreciation, etc.

Management and Financial Targets for FY2015

■ Management and Financial Targets / Financial Indicators

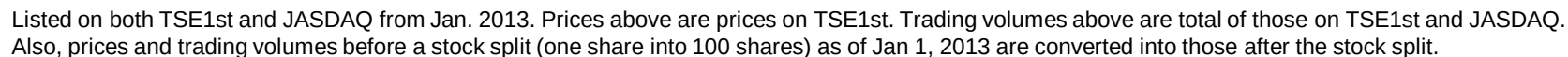
(JPY 1mil.)

	FY2012 (Actual)	FY2015 (Target)
Operating Revenues	82,504	90,500
Operating Expenses (excl. goodwill amortization)	59,633 (58,159)	52,900 (49,500)
Operating Profit (excl. goodwill amortization)	22,871 (24,345)	37,600 (41,000)
Net Income (excl. goodwill amortization)	12,953 (14,427)	22,600 (26,000)
EBITDA	37,026	Approx. 50,000
ROE *	9.7%	Approx. 14%

* Excluding goodwill amortization and special assets

■ Capital Investment (3 years)

JPY 36 billion	(Main breakdown) Cash Equities System: JPY 11.0 billion Derivatives System: JPY 10.0 billion Clearing System: JPY 8.0 billion
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IV. Reference Material



Referential financial data (combined base)

➤ Quarterly Business Performance

(JPY 1mil.)

	FY 2011 Full Year (Apr. 1, 2011- Mar 31, 2012)	FY2012					
		1Q (*) (Apr. 1, 2012- Jun 30, 2012)	2Q (*) (Jul. 1, 2012- Sep. 30, 2012)	3Q (Oct. 1, 2012- Dec. 31, 2012)	4Q (Jan 1, 2013- Mar. 31, 2013)	Full Year (Apr. 1, 2012- Mar. 31, 2013)	y/y
Operating Revenue	75,539	19,178	17,779	19,772	25,773	82,504	9.2
Operating Expenses	58,057	13,955	13,516	15,241	16,869	59,633	2.7
Operating Income	17,482	5,222	4,263	4,531	8,903	22,871	30.8
Ordinary Income	20,080	5,813	4,758	5,792	8,926	25,259	25.8
Net Income	11,777	3,498	3,072	2,753	3,627	12,953	10.0
EBITDA	33,363	8,548	6,926	9,024	12,472	37,026	11.0

➤ Operating Expenses

(JPY 1mil.)

	FY2011	FY2012
	Full Year (April 1, 2011- March 31, 2012)	Full Year (April 1, 2012- March 31, 2013)
Personal Expenses	14,788	14,499
Rent Expenses on Real Estates	6,362	6,349
System Maintenance & Operation Costs	11,167	11,686
Depreciation	13,443	12,741
Other	12,295	14,355
Total	58,057	59,633

- Numbers for FY2011 are a combination of former TSEG and former OSE, and those for FY2012 are a combination with former OSE's 1H.
- (*) are simple total of former TSEG and former OSE, i.e. pre-conversion numbers to JPX's accounting items. Therefore, there are differences from JPX's consolidated accounting items.

Referential financial data (combined base)

➤ Operating Revenue

(JPY 1mil.)

	FY 2011		FY 2012		
	Full Year (April 1, 2011- March 31, 2012)		Full Year (April 1, 2012- March 31, 2013)		
	Amount	Ratio	Amount	Ratio	y/y
Trading Participant Fees	31,088	41.2%	35,177	42.6%	13.2%
Transaction Fees	22,710		26,696		17.5%
Cash Equities	13,982	61.6% *	16,105	60.3% *	15.2%
TSE market (inc. Mothers)	11,845		13,200		11.4%
OSE market (inc. JASDAQ)	2,136		2,905		35.9%
Derivatives	8,728	38.4% *	10,590	39.7% *	21.3%
TOPIX futures	1,361		1,526		12.1%
Nikkei 225 futures (inc. mini)	2,682		3,415		27.3%
Nikkei 225 Options	3,004		3,621		20.6%
10-year JGB futures	1,358		1,770		30.4%
Others	321		256		-20.2%
Basic Fees	1,578		1,451		-8.0%
Access Fees	4,169		4,440		6.5%
Trading System Facilities Usage Fees	2,532		2,481		-2.0%
Others	98		108		10.1%
Income from Securities Settlement	9,603	12.7%	12,206	14.8%	27.1%
Listing Fees	9,123	12.1%	10,095	12.2%	10.7%
Initial/Additional Listing Fees	2,311		3,265		41.3%
Annual Listing Fees	6,812		6,830		0.3%
Income from Information Services	15,440	20.4%	14,995	18.2%	-2.9%
Other	10,283	13.6%	10,028	12.2%	-2.5%
Total	75,539	100.0%	82,504	100.0%	9.2%

Numbers for FY2011 are a combination of former TSEG and former OSE, and those for FY2012 are combined-based with former OSE's 1H.

Numbers marked * are ratio among Transaction Fees.

Referential financial data (combined base)

➤ Quarterly Transaction Fees (which consist of Trading Participant Fees)

(JPY 1mil.)

	FY2011	FY2012				
	Full Year (Apr. 1, 2011- Mar 31, 2012)	1Q (Apr. 1, 2012- Jun 30, 2012)	2Q (Jul. 1, 2012- Sep. 30, 2012)	3Q (Oct. 1, 2012- Dec. 31, 2012)	4Q (Jan 1, 2013- Mar. 31, 2013)	Full Year (Apr. 1, 2012- Mar. 31, 2013)
Cash Equities	13,982	3,316	2,945	3,649	6,193	16,105
TSE market (inc. Mothers)	11,845	2,807	2,553	3,031	4,808	13,200
OSE market (inc. JASDAQ)	2,136	508	391	618	1,385	2,905
Derivatives	8,728	2,426	2,106	2,460	3,597	10,590
TOPIX futures	1,361	371	351	350	451	1,526
Nikkei 225 futures (inc. mini)	2,682	760	651	814	1,189	3,415
Nikkei 225 Options	3,004	752	658	825	1,384	3,621
10-year JGB futures	1,358	459	393	415	502	1,770
Others	321	82	50	53	69	256

Data of Major products

➤ Trading Volume/Value

	FY2011	FY2012				
	Full Year (Apr. 1, 2011- Mar 31, 2012)	1Q (Apr. 1, 2012- Jun 30, 2012)	2Q (Jul. 1, 2012- Sep. 30, 2012)	3Q (Oct. 1, 2012- Dec. 31, 2012)	4Q (Jan 1, 2013- Mar. 31, 2013)	Full Year (Apr. 1, 2012- Mar. 31, 2013)
Cash Equities Trading Value (JPY 1mil.)						
TSE market 1st/2nd section	317,184,778	74,704,273	65,758,660	81,661,247	138,503,859	361,674,820
OSE market 1st/2nd section	8,919,847	1,622,350	1,371,564	1,828,167	2,768,224	7,590,305
Mothers	3,848,692	659,877	661,086	1,129,330	3,348,301	5,798,596
JASDAQ	5,077,042	1,262,229	957,928	1,551,582	3,674,444	7,446,185
Derivatives Trading Volume (contracts) (Trading Value for Nikkei 225 Options)						
TOPIX futures	14,228,547	4,008,210	3,729,113	3,776,656	5,196,028	16,710,007
Mini TOPIX futures	958,443	465,464	548,911	620,014	951,345	2,585,734
Total Nikkei 225 Futures/mini (*)	29,371,654	8,592,507	7,413,381	8,573,728	12,926,625	37,506,240
Nikkei 225 Futures	17,979,219	5,206,854	4,389,045	5,058,413	7,369,366	22,023,678
Nikkei225mini	113,924,352	33,856,526	30,243,360	35,153,145	55,572,590	154,825,621
Nikkei 225 Options (JPY 1mil.)	4,630,065	1,213,137	1,029,247	1,253,161	2,271,580	5,767,127
10-year JGB futures	7,209,562	2,451,382	2,114,685	2,226,941	2,688,395	9,481,403

➤ Average Daily Trading Volume/Value

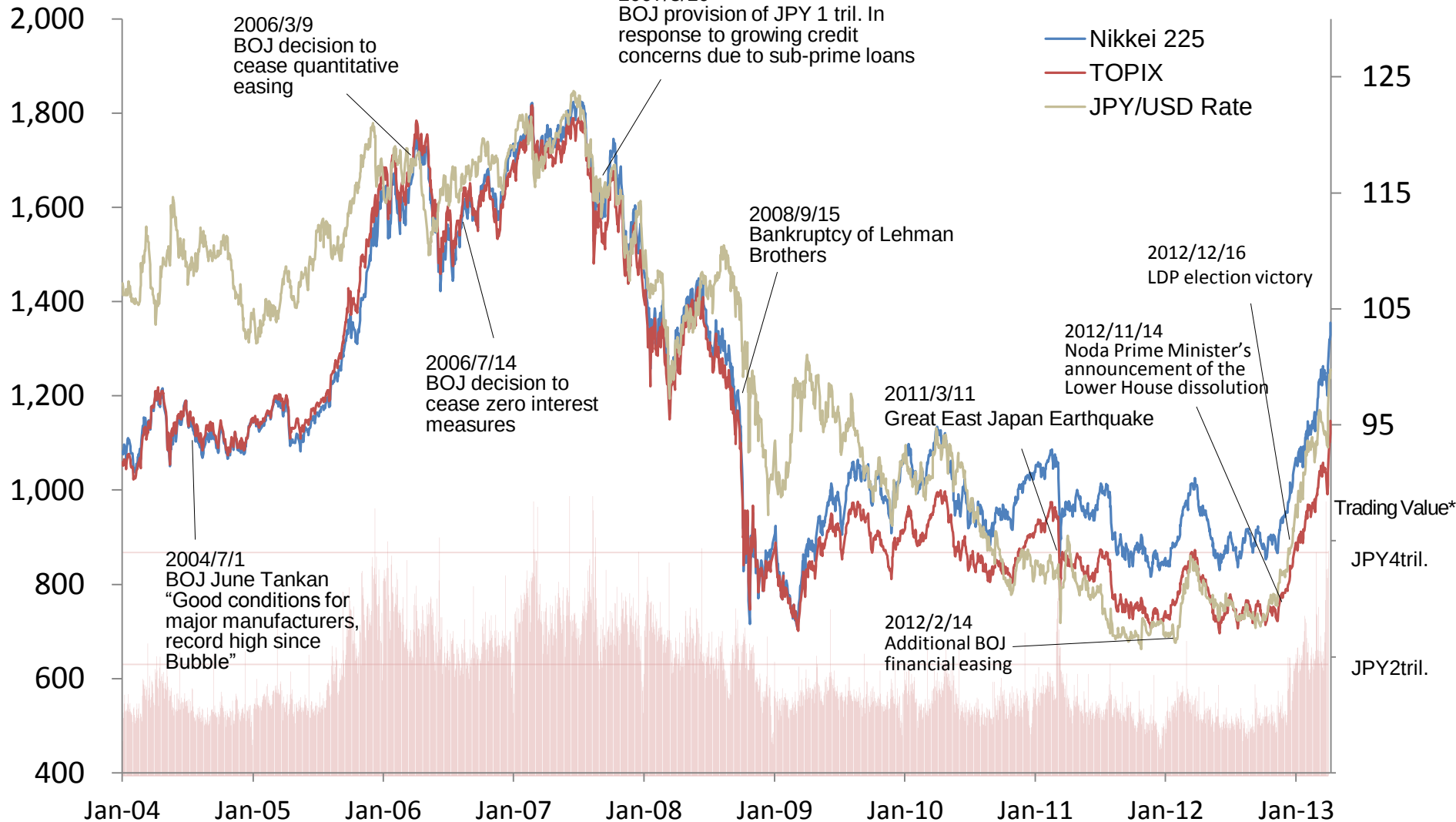
	FY2011	FY2012				
	Full Year (Apr. 1, 2011- Mar 31, 2012)	1Q (Apr. 1, 2012- Jun 30, 2012)	2Q (Jul. 1, 2012- Sep. 30, 2012)	3Q (Oct. 1, 2012- Dec. 31, 2012)	4Q (Jan 1, 2013- Mar. 31, 2013)	Full Year (Apr. 1, 2012- Mar. 31, 2013)
Cash Equities Trading Value (JPY 1mil.)						
TSE market 1st/2nd section	1,289,369	1,204,907	1,043,788	1,317,116	2,387,997	1,476,223
OSE market 1st/2nd section	36,259	26,166	21,770	29,486	47,728	30,980
Mothers	15,645	10,643	10,493	18,215	57,729	23,667
JASDAQ	20,638	20,358	15,205	25,025	63,352	30,392
Derivatives Trading Volume (contracts) (Trading Value for Nikkei 225 Options)						
TOPIX futures	57,840	64,649	59,192	60,914	89,587	68,204
Mini TOPIX futures	3,896	7,507	8,713	10,000	16,403	10,554
Total Nikkei 225 Futures/mini (*)	119,396	138,588	117,672	138,285	222,872	153,086
Nikkei 225 Futures	73,086	83,981	69,667	81,587	127,058	89,892
Nikkei225mini	463,107	546,073	480,053	566,986	958,148	631,941
Nikkei 225 Options (JPY 1mil.)	18,821	19,566	16,337	20,212	39,165	23,539
10-year JGB futures	29,307	39,538	33,566	35,918	46,352	38,700

* Contracts of
Nikkei 225 mini
are calculated
by 1/10

Japanese Stock Market

Nikkei 225 (JPY 10)
TOPIX (points)

(JPY/USD)



* Average Daily Trading Value on TSE Markets (Total of TSE 1st/2nd Section and Mothers)

Outline of JPX Stock

Stock Code	8697
Listed Exchange	Tokyo Stock Exchange 1 st Section, Osaka Securities Exchange JASDAQ (Standard)
Business Year	From April 1 to March 31
Annual General Shareholders Meeting	In June
Record Date	March 31
Number of Shares in One Trading Unit	100 shares
Number of Shares	Total number of shares authorized to be issued: 290,000,000 shares Total number of shares issued: 54,906,910 shares
Basic Policy on Profit Distribution	Giving due consideration to the importance of internal reserves for the purpose of development of the system for strengthening competitiveness, etc. as an exchange, and for the purpose of being prepared for the risks as the clearing organization, JPX makes it a principle to conduct stable and continuous payment of dividends. <u>Specifically, JPX aims at a target dividend payout ratio of around 40%.</u>